

ion as to the future course of prices. An ideal situation of this kind would meet the following two requirements:

1. A strongly entrenched senior issue that can be relied on to maintain a price close to par even if the common should drop precipitately. A good convertible bond, maturing in a short time, is an ideal type for this purpose.
2. A common stock in which the speculative interest is large and that is therefore subject to wide fluctuations in either direction.

An example of this form of hedge is supplied by operations carried on in 1918–1919 in Pierce Oil 6s, due in 1920, and the company's common stock.⁹

The advantages possessed by convertibles, along the lines just described, are shared also by participating and purchase-warrant issues. The latter types of privileged securities may, of course, be used as media for hedging operations. Similarly, it may be found most desirable to switch from common stocks into such issues. The Rand Kardex 5¹/₂s, described in Chap. 22, were not only an attractive direct commitment at the time of issuance, but they were certainly a desirable substitute for the Class A stock. Furthermore they offered an interesting hedging opportunity. In like manner, persons committed to a permanent investment in Westinghouse Electric and Manufacturing Company would certainly have been wise to switch from the common stock into the participating preferred when the latter sold at a lower price than the common in 1929 or 1930. In this case, however, a hedging operation between the preferred and common would have involved special hazards, because the senior issue was not convertible into the junior shares.

⁹ This operation is analyzed in the Appendix Note 41.